

Table 7.1. Phase I -- Local cycle-factor predictability across the G10

Country	c(1)	t	c-bar	t	R2	Wald p	N
Belgium	-0.42	(-3.40)	0.55	(4.63)	0.305	0.000	353
Germany	-0.35	(-3.35)	0.48	(4.97)	0.261	0.000	352
France	-0.39	(-4.03)	0.52	(4.24)	0.128	0.000	352
Italy	-0.26	(-1.44)	0.59	(3.17)	0.285	0.000	352
Netherlands	-0.36	(-3.12)	0.55	(5.43)	0.344	0.000	353
Switzerland	-0.11	(-1.18)	0.26	(1.78)	0.074	0.196	353
UK	-0.41	(-4.35)	0.54	(4.52)	0.264	0.000	352
Sweden	-0.26	(-1.91)	0.44	(3.34)	0.241	0.001	352
Canada	-0.23	(-2.38)	0.41	(4.50)	0.329	0.000	352
Japan	-0.30	(-1.48)	0.46	(2.13)	0.185	0.023	366
US	-0.40	(-3.17)	0.78	(4.32)	0.330	0.000	412
G10 panel	-0.33	(-10.77)	0.51	(15.70)	0.256	0.000	3949

LHS: duration-standardized, maturity-averaged one-year excess return $rx_bar_{\{i,t+12\}}$. Each row is $rx_bar \sim c^{(1)} + c\text{-bar}$ by country; the local cycle factor CF is the fitted value of this regression. Newey-West HAC t-stats (12m overlap) in (.); Wald p is the joint test that both cycle slopes are zero. 'G10 panel' adds country fixed effects. In-sample R^2 . Sample as in Table 4.1.